



Keep Looking Ahead

# Q4 Fiscal 2026 Earnings

Quarter Ended June 30, 2026 • Reported July 28, 2026



# Forward Looking Statements

Statements in this presentation other than historical facts, such as statements pertaining to: (i) future industry demand for semiconductors, WFE, and advanced packaging; (ii) our market position for the future and future growth in demand for our products; (iii) our forecast of financial measures for the following quarter, calendar 2026, calendar 2027 and our 2030 target model; (iv) our future revenues by customer segment; (v) our long-term financial targets and underlying assumptions; (vi) our future investment plan on R&D, technology, manufacturing capacity and infrastructure; and (vii) future shareholder returns, are forward-looking statements and subject to the Safe Harbor provisions created by the Private Securities Litigation Reform Act of 1995.

These forward-looking statements are based on current information and expectations and involve a number of risks and uncertainties. Actual results may differ materially from those projected in such statements due to various factors, including but not limited to: our vulnerability to a weakening in the condition of the financial markets and the global economy; risks related to our international operations; evolving Bureau of Industry and Security of the U.S. Department of Commerce rules and regulations and their impact on our ability to sell products to and provide services to certain customers in China; tariffs and other trade restrictions; costly intellectual property disputes that could result in our inability to sell or use the challenged technology; risks related to the legal, regulatory and tax environments in which we conduct our business; differing stakeholder expectations, requirements and attention to ESG matters and the resulting costs, risks and impact on our business; unexpected delays, difficulties and expenses in executing against our environmental, climate, or other ESG target, goals and commitments; our ability to attract, retain and motivate key personnel; our vulnerability to disruptions and delays at our third-party service providers; cybersecurity threats, cyber incidents affecting our and our business partners' systems and networks; our inability to access critical information in a timely manner due to system failures; risks related to acquisitions, integrations, strategic alliances or collaborative arrangements; climate change, earthquake, flood or other natural catastrophic events, public health crises or terrorism and the adverse impact on our business operations; the war between Ukraine and Russia, continued escalation of hostilities in Iran and the Middle East, and the significant military activity in those regions; lack of insurance for losses and interruptions caused by terrorists and acts of war, and our self-insurance of certain risks including earthquake risk; risks related to fluctuations in foreign currency exchange rates; risks related to fluctuations in interest rates and the market values of our portfolio investments; risks related to tax and regulatory compliance audits; any change in taxation rules or practices and our effective tax rate; compliance costs with federal securities laws, rules, regulations, NASDAQ requirements, and evolving accounting standards and practices; ongoing changes in the technology industry, and the semiconductor industry in particular, including future growth rates, pricing trends in end-markets, or changes in customer capital spending patterns; our vulnerability to a highly concentrated customer base; the cyclicity of the industries in which we operate; our ability to timely develop new technologies and products that successfully address changes in the industry; risks related to artificial intelligence; our ability to maintain our technology advantage and protect proprietary rights; our ability to compete in the industry; availability and cost of the materials and parts used in the production of our products; our ability to operate our business in accordance with our business plan; risks related to our debt and leveraged capital structure; we may not be able to declare cash dividends at all or in any particular amount; liability to our customers under indemnification provisions if our products fail to operate properly or contain defects or our customers are sued by third parties due to our products; our government funding for R&D is subject to audit, and potential termination or penalties; we may incur significant restructuring charges or other asset impairment charges or inventory write offs; we are subject to risks related to receivables factoring arrangements and compliance risk of certain settlement agreements with the government; and risks related to the Court of Chancery of the State of Delaware being the sole and exclusive forum for certain actions and proceedings. Revised based on the latest 10-K we reviewed. Company to update as needed. For other factors that may cause actual results to differ materially from those projected and anticipated in forward-looking statements in this press release, please refer to KLA's Annual Report on Form 10-K for the year ended June 30, 2025, and other subsequent filings with the Securities and Exchange Commission (including, but not limited to, the risk factors described therein). KLA assumes no obligation to, and does not currently intend to, update these forward-looking statements.

# The KLA Operating Model



## Consistent Strategy and Execution

- Application of common processes and discipline
- Cascades throughout the organization
- Strong focus on talent development



## Management By Metrics

- Culture of performance and accountability
- Expectation of continuous improvement
- Superior margins driven by market leadership and differentiation



## Financial Discipline and Rigor

- Exert efficiency and operating discipline in our investments
- Strong track record of high returns
- Focused on enhancing shareholder value

Focused on driving sustainable profitability and growth

# June Quarter 2026 Income Statement Highlights

**\$3.66B**

Revenue

**62.4%**

Gross Margin\*

**43.7%**

Operating Margin\*

**\$1.39B**

Net Income\*

(Right) The Kronos patterned wafer inspection system detects critical defects for process development and production monitoring in advanced wafer-level packaging (AWLP) applications.



**\$1.05**

Non-GAAP Diluted EPS\* <sup>1</sup>

**\$1.04**

GAAP Diluted EPS <sup>1</sup>

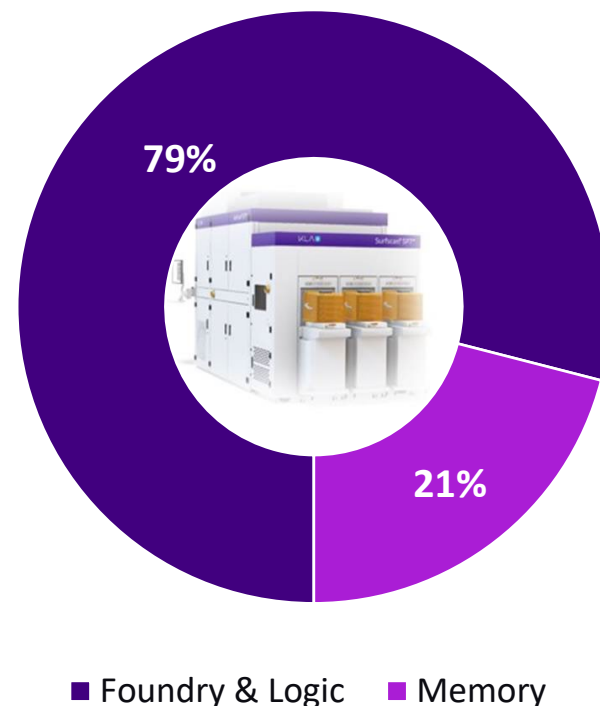
\* Non-GAAP metric – please refer to the appendix for reconciliation to GAAP

<sup>1</sup> On, June 11, 2026 after market close, KLA effected a 10-for-1 stock split. All current and prior-period EPS and other per-share amounts have been retroactively adjusted to reflect the split.

# Breakdown of Revenue by Reportable Segments and End Markets

|                                                                | Revenue<br>Q4-FY26 (\$M) | Y/Y<br>Growth % | Q/Q<br>Growth % | Revenue % |
|----------------------------------------------------------------|--------------------------|-----------------|-----------------|-----------|
| <b>Semiconductor Process Control</b><br>(Systems + Services)   | \$3,257                  | +13%            | +6%             | 89%       |
| <b>Specialty Semiconductor Process</b><br>(Systems + Services) | \$160                    | +13%            | -3%             | 4%        |
| <b>PCB and Component Inspection</b><br>(Systems + Services)    | \$241                    | +56%            | +44%            | 7%        |
| <b>Total</b>                                                   | <b>\$3,658</b>           | <b>+15%</b>     | <b>+7%</b>      |           |

## Q4-FY26: Semi Process Control End Market System Revenue <sup>1</sup>

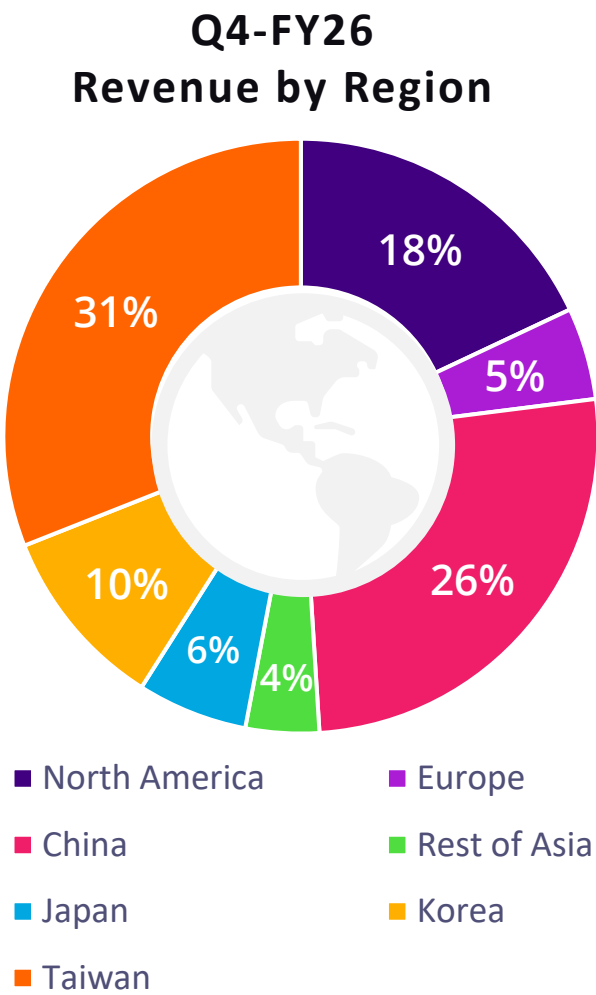


<sup>1</sup> Represents approximate Semi Process Control system-only sales to Foundry/Logic customers or Memory customers only, which does not represent our aggregate customer base

# Breakdown of Revenue by Major Product and Regions

|                              | Revenue<br>Q4-FY26 (\$M) | Y/Y<br>Growth % | Q/Q<br>Growth % | Revenue % |
|------------------------------|--------------------------|-----------------|-----------------|-----------|
| Wafer Inspection             | \$1,781                  | +1%             | +2%             | 49%       |
| Patterning                   | \$728                    | +61%            | +18%            | 20%       |
| Specialty Semi Process       | \$137                    | +11%            | -5%             | 4%        |
| PCB and Component Inspection | \$168                    | +96%            | +76%            | 4%        |
| Services                     | \$820                    | +17%            | +6%             | 22%       |
| Other <sup>1</sup>           | \$24                     | -39%            | -48%            | 1%        |
| Total                        | \$3,658                  | +15%            | +7%             |           |

<sup>1</sup> Included in the Semiconductor Process Control Segment



# Strong Investment Grade Balance Sheet

## Balance Sheet Summary <sup>1</sup> (\$M)

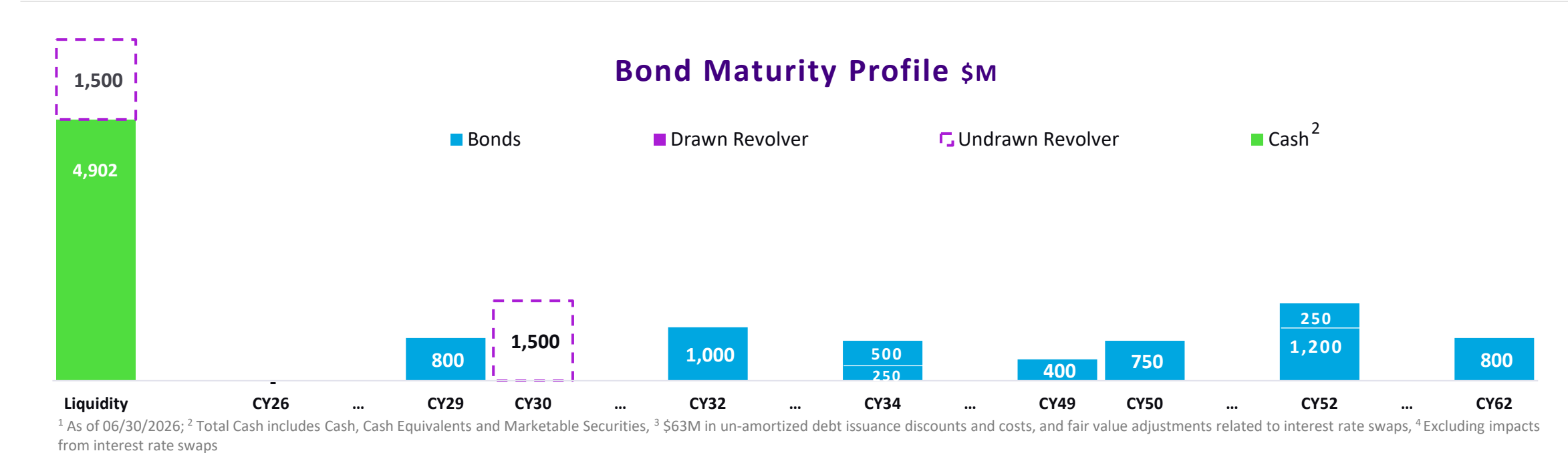
|                            |           |
|----------------------------|-----------|
| Total Cash <sup>2</sup>    | \$ 4,902  |
| Working Capital            | \$ 8,077  |
| Total Assets               | \$ 17,952 |
| Debt <sup>3</sup>          | \$ 5,887  |
| Total Shareholders' Equity | \$ 6,350  |

## Bond Maturity Profile

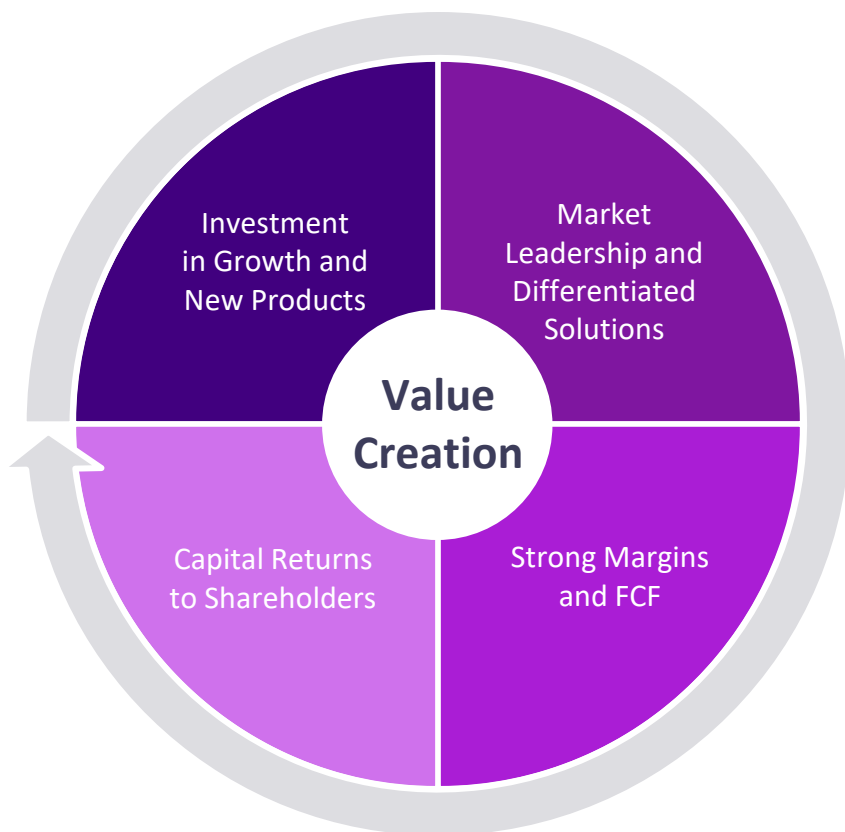
|                                             |            |
|---------------------------------------------|------------|
| Bonds Outstanding                           | \$5.95B    |
| Weighted Average Interest Rate <sup>4</sup> | 4.67%      |
| Weighted Average Maturity                   | 18.1 years |

## Investment Grade Credit Ratings

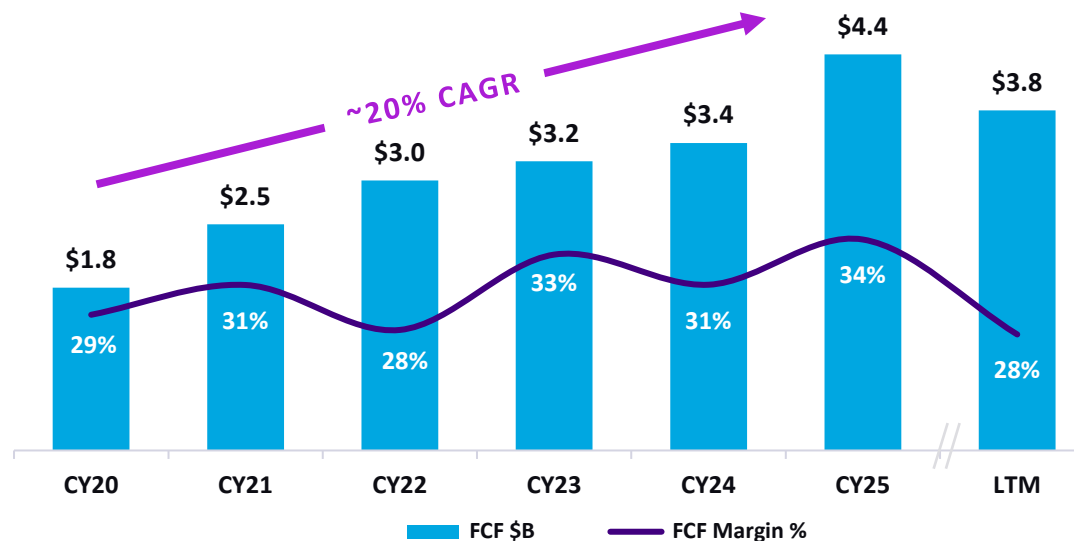
|         |    |
|---------|----|
| Moody's | A2 |
| S&P     | A- |
| Fitch   | A  |



# FCF Generation Fuels Consistent Capital Return to Shareholders



## Free Cash Flow<sup>1</sup> and FCF Margin<sup>2</sup>



<sup>1</sup> Free Cash Flow (FCF) = Cash Flow from Operating Activities minus Capital Expenditures

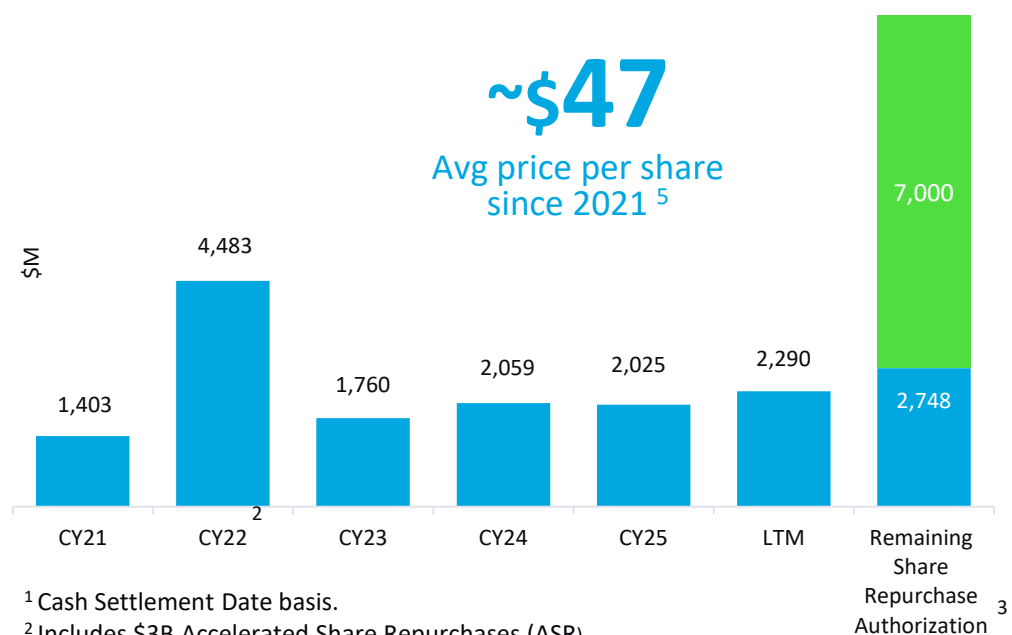
<sup>2</sup> FCF Margin defined as FCF/Revenue; Non-GAAP metric – Please refer to Appendix for reconciliation to GAAP

Committed to long-term >90% FCF returned to shareholders through dividends and share repurchases



# Consistent Returns to Shareholders Across Both Repurchases & Dividends

## Share Repurchases - Last 5 Years <sup>1</sup>



<sup>1</sup> Cash Settlement Date basis.

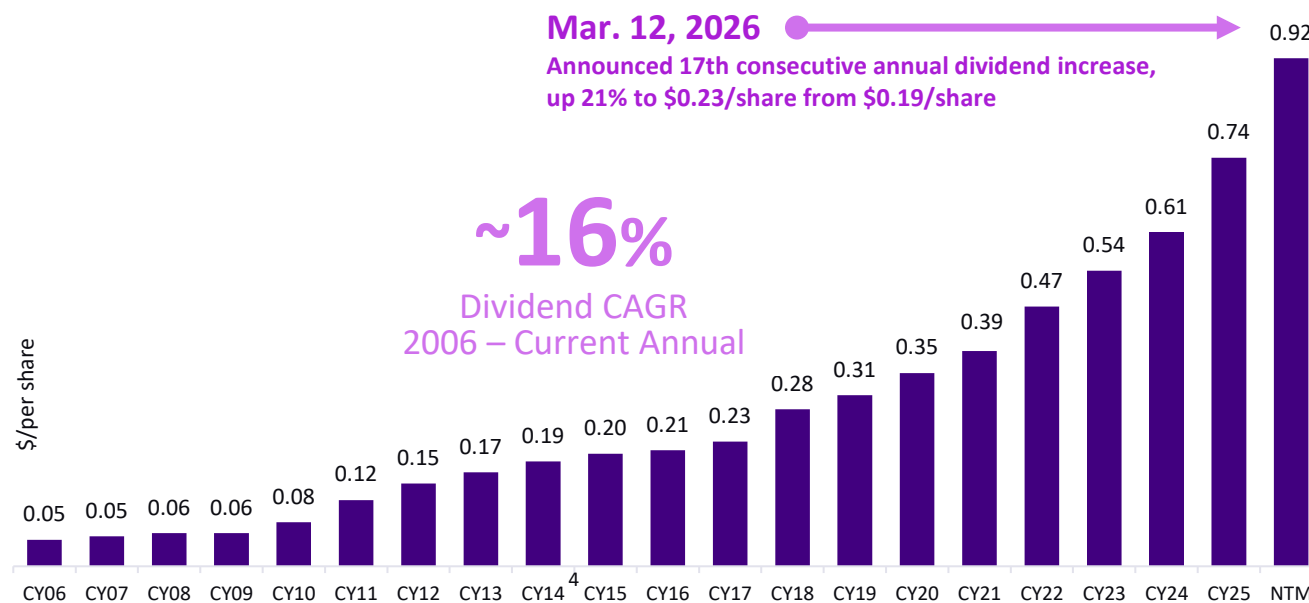
<sup>2</sup> Includes \$3B Accelerated Share Repurchases (ASR).

<sup>3</sup> Remaining Share Repurchase Authorization includes \$7.0B authorization announced 3/12/26 and \$2.7B remaining previous authorization as of 6/30/2026.

<sup>4</sup> Excludes \$16.50 per share special dividend in Dec. 2014.

<sup>5</sup> Reflects 10 for 1 stock split.

## Track Record of Dividend Increases <sup>5</sup>



# Free Cash Flow and Capital Return Highlights

**\$817M**

June Quarter  
Free Cash Flow\*

**22%**

June Quarter  
FCF Margin\*

**59%**

June Quarter  
FCF Conversion\*



(Above) The KLA 3935 is part of the 39xx Series (also called Gen5) and is designed for leading-edge logic and foundry manufacturing. It is a super resolution broadband plasma patterned wafer defect inspection system that supports wafer-level defect discovery, yield learning, and inline monitoring with high throughput, enabling rapid defect detection. Other key capabilities of the system include hotspot discovery, process debug, EUV print check, and line monitoring.

**\$571M**

June Quarter  
Share Buyback

**\$2.29B**

LTM Share Buyback

**\$305M**

June Quarter  
Dividends Paid

**\$1.06B**

LTM Dividends Paid

\* Free Cash Flow (FCF) = Cash Flow from Operating Activities minus Capital Expenditures. FCF Margin = FCF/Revenue. FCF Conversion = FCF / Non-GAAP Net Income. Non-GAAP metric  
Refer to Appendix for Reconciliation to GAAP. Capital Returns = Dividends + Share Repurchases

# Guidance for Q1 FY2027

## September 2026 Quarter Guidance

|                        |                   |
|------------------------|-------------------|
| Revenue                | \$4.0B +/- \$200M |
| Non-GAAP Gross Margin* | 62.5% +/- 1%      |
| GAAP Diluted EPS       | \$1.14 +/- \$0.10 |
| Non-GAAP Diluted EPS*  | \$1.16 +/- \$0.10 |

### Macro Assumptions

Semi PC Revenue By End Market <sup>1</sup>

- Foundry/Logic: ~73%
- Memory: ~27% → DRAM ~90% | NAND ~10%

### Model Assumptions

- Non-GAAP Operating Expenses\*: ~\$690M
- Other Income & Expense (OIE)\*, Net: ~\$25M
- Effective Tax Rate\*: ~14.5%
- Diluted Share Count: ~1.312B

\* Non-GAAP metric – Refer to Appendix for Reconciliation to GAAP

<sup>1</sup> Represents approximate Semi Process Control system-only sales to Foundry/Logic customers or Memory customers only, which does not represent our aggregate customer base

Strong, resilient and delivering shareholder value

# KLA 2030 Target Model Financial Framework – Split Adjusted <sup>2</sup>

KLA 2030 Target Model Originally Published on March 12, 2026, Investor Day

|                                | 2026<br>Target Model | 2030<br>Target Model | Ongoing Financial<br>Framework             |
|--------------------------------|----------------------|----------------------|--------------------------------------------|
| Revenue                        | \$14B +/- \$500M     | \$26B +/- \$2.5B     | ~13% - 17% CAGR                            |
| Gross Margin% <sup>1</sup>     | ~63%                 | ~63.5% +/- 50 bps    |                                            |
| R&D% <sup>1</sup>              | ~13%                 | ~11%                 |                                            |
| SG&A% <sup>1</sup>             | ~8%                  | ~7%                  |                                            |
| Operating Margin% <sup>1</sup> | 41-43%               | 45% - 47%            | 40% - 50% (Incremental)                    |
| Diluted EPS <sup>1, 2</sup>    | \$3.80 +/- \$0.15    | \$8.40 +/- \$0.80    | ~1.3x Revenue<br>Growth Rate               |
| Capital Allocation             | Target > 85% of FCF  | Target > 90% of FCF  | Hybrid Approach:<br>Dividend + Repurchases |

<sup>1</sup> Non-GAAP measure

<sup>2</sup> On, June 11, 2026 after market close, KLA effected a 10-for-1 stock split. Diluted EPS has been adjusted to reflect the split.

## Macro Assumptions

- CY25-CY30E semiconductor industry CAGR of ~11%
- Wafer Equipment grows ~1 pt. faster than Semi to \$215B +/- \$20B
- ~60% foundry / logic, ~40% memory
- Process Control market grows > WFE

## Business Assumptions

- Intensity / market share gain at leading edge of core WFE
- Advanced Packaging augments growth
- KLA share of Wafer Equipment grows > 150 bps
- Services grows 13-15%
- EPC grows mid-high single digits
- Planning tax rate at 14.5%

Focused on Driving Consistent, Profitable Growth and Delivering Shareholder Value



# Appendix

## Reconciliation of Financial Results





# Reconciliation of Non-GAAP Financial Measures

| <i>(In millions, except EPS \$ and percentages)</i>                                                     |   | <b>For the three<br/>months ended<br/>Jun. 30, 2026</b> |
|---------------------------------------------------------------------------------------------------------|---|---------------------------------------------------------|
| <b>GAAP net income</b>                                                                                  |   | <b>\$ 1,363.1</b>                                       |
| <u>Adjustments to reconcile GAAP net income to non-GAAP net income*</u>                                 |   |                                                         |
| Acquisition-related charges                                                                             | a | 33.1                                                    |
| Income tax effect of non-GAAP adjustments                                                               | b | (17.2)                                                  |
| Discrete tax items                                                                                      | c | 6.8                                                     |
| <b>Non-GAAP net income</b>                                                                              |   | <b>\$ 1,385.7</b>                                       |
| <b>GAAP diluted EPS</b>                                                                                 |   | <b>\$ 1.04</b>                                          |
| <b>Non-GAAP diluted EPS</b>                                                                             |   | <b>\$ 1.05</b>                                          |
| Shares used in diluted shares calculation                                                               |   | 1,315.0                                                 |
| <b>GAAP income tax expense</b>                                                                          |   | <b>\$ 186.3</b>                                         |
| <u>Adjustments to reconcile GAAP effective tax rate to non-GAAP effective tax rate*</u>                 |   |                                                         |
| Income tax effect of non-GAAP adjustments                                                               | b | 17.2                                                    |
| Discrete tax items                                                                                      | c | (6.8)                                                   |
| <b>Non-GAAP income tax expense</b>                                                                      |   | <b>\$ 196.7</b>                                         |
| <b>GAAP income before income taxes</b>                                                                  |   | <b>\$ 1,549.4</b>                                       |
| <u>Adjustments to reconcile GAAP income before income taxes to non-GAAP income before income taxes*</u> |   |                                                         |
| Acquisition-related charges                                                                             | a | 33.1                                                    |
| <b>Non-GAAP income before income taxes</b>                                                              |   | <b>\$ 1,582.5</b>                                       |
| <b>GAAP income tax rate</b>                                                                             |   | <b>12.0%</b>                                            |
| <b>Non-GAAP income tax rate</b>                                                                         |   | <b>12.4%</b>                                            |
| <b>GAAP other expense (income), net</b>                                                                 |   | <b>\$ 4.6</b>                                           |
| <u>Adjustments to reconcile GAAP other expense (income) to non-GAAP other expense (income)*</u>         |   |                                                         |
| Acquisition-related charges                                                                             | a | 11.6                                                    |
| <b>Non-GAAP other expense (income), net</b>                                                             |   | <b>\$ 16.2</b>                                          |

| <i>(Dollars in millions)</i>                                                          |   | <b>For the three<br/>months ended<br/>Jun. 30, 2026</b> |
|---------------------------------------------------------------------------------------|---|---------------------------------------------------------|
| <b>GAAP gross margin</b>                                                              |   | <b>61.4%</b>                                            |
| <u>Adjustments to reconcile GAAP gross margin to non-GAAP gross margin*</u>           |   |                                                         |
| Acquisition-related charges                                                           | a | 1.0%                                                    |
| <b>Non-GAAP gross margin</b>                                                          |   | <b>62.4%</b>                                            |
| <b>GAAP research and development ("R&amp;D") expenses</b>                             |   | <b>\$ 399.0</b>                                         |
| <b>Non-GAAP R&amp;D expenses</b>                                                      |   | <b>\$ 399.0</b>                                         |
| <b>GAAP selling, general and administrative ("SG&amp;A") expenses (1)</b>             |   | <b>\$ 291.5</b>                                         |
| <u>Adjustments to reconcile GAAP SG&amp;A expenses to non-GAAP SG&amp;A expenses*</u> |   |                                                         |
| Acquisition-related charges                                                           | a | (8.5)                                                   |
| <b>Non-GAAP SG&amp;A expenses (1)</b>                                                 |   | <b>\$ 283.0</b>                                         |
| <b>GAAP operating expense (1)</b>                                                     |   | <b>\$ 690.5</b>                                         |
| <u>Adjustments to reconcile GAAP operating expense to non-GAAP operating expense*</u> |   |                                                         |
| Acquisition-related charges                                                           | a | (8.5)                                                   |
| <b>Non-GAAP operating expense (1)</b>                                                 |   | <b>\$ 682.0</b>                                         |
| <b>GAAP operating income (1)</b>                                                      |   | <b>\$ 1,553.9</b>                                       |
| <u>Adjustments to reconcile GAAP operating income to non-GAAP operating income*</u>   |   |                                                         |
| Acquisition-related charges                                                           | a | 44.7                                                    |
| <b>Non-GAAP operating income (1)</b>                                                  |   | <b>\$ 1,598.6</b>                                       |
| <b>GAAP operating margin</b>                                                          |   | <b>42.5%</b>                                            |
| <b>Non-GAAP operating margin</b>                                                      |   | <b>43.7%</b>                                            |

Amounts may not sum due to rounding

\* Refer to "Reconciliation of Non-GAAP Measures - Explanation of Non-GAAP Financial Measures" for detailed descriptions and information for each reconciling item.

- (1) Non-GAAP operating income and operating expenses include the effects of the changes in the Company's Executive Deferred Savings Plan Program ("EDSP"), because the changes in the EDSP liability and asset are recorded in selling, general and administrative expense in operating expenses. The expense associated with changes in the EDSP liability included in selling, general and administrative expense for the quarter ended June 30, 2026 was \$44.1 million. The gain associated with changes in the EDSP assets included in selling, general and administrative expense for the quarter ended June 30, 2026 was \$44.0 million.

# Reconciliation of Free Cash Flow and Related Metrics

| Free Cash Flow Measures                                    |                            |                             |                   |                   |                   |                   |                   |                   |
|------------------------------------------------------------|----------------------------|-----------------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| <i>(Dollars in millions)</i>                               |                            |                             |                   |                   |                   |                   |                   |                   |
|                                                            | For the three months ended | For the twelve months ended |                   |                   |                   |                   |                   |                   |
|                                                            | Jun. 30, 2026              | Jun. 30, 2026               | Dec. 31, 2025     | Dec. 31, 2024     | Dec. 31, 2023     | Dec. 31, 2022     | Dec. 31, 2021     | Dec. 31, 2020     |
| Net cash provided by operating activities                  | \$ 906.4                   | \$ 4,143.1                  | \$ 4,766.3        | \$ 3,647.3        | \$ 3,476.0        | \$ 3,337.9        | \$ 2,786.4        | \$ 1,968.1        |
| Less Capital expenditures                                  | (89.3)                     | (375.9)                     | (384.0)           | (285.3)           | (308.4)           | (351.5)           | (250.4)           | (200.3)           |
| <b>Free cash flow</b>                                      | <b>\$ 817.1</b>            | <b>\$ 3,767.1</b>           | <b>\$ 4,382.3</b> | <b>\$ 3,362.1</b> | <b>\$ 3,167.5</b> | <b>\$ 2,986.5</b> | <b>\$ 2,536.0</b> | <b>\$ 1,767.8</b> |
| Free cash flow                                             | \$ 817.1                   | \$ 3,767.1                  | \$ 4,382.3        | \$ 3,362.1        | \$ 3,167.5        | \$ 2,986.5        | \$ 2,536.0        | \$ 1,767.8        |
| Revenue                                                    | \$ 3,657.6                 | \$ 13,579.5                 | \$ 12,744.5       | \$ 10,847.0       | \$ 9,671.4        | \$ 10,483.7       | \$ 8,165.7        | \$ 6,073.0        |
| <b>Free cash flow margin</b>                               | <b>22.3%</b>               | <b>27.7%</b>                | <b>34.4%</b>      | <b>31.0%</b>      | <b>32.8%</b>      | <b>28.5%</b>      | <b>31.1%</b>      | <b>29.1%</b>      |
| Free cash flow                                             | \$ 817.1                   |                             |                   |                   |                   |                   |                   |                   |
| Non-GAAP net income                                        | \$ 1,385.7                 |                             |                   |                   |                   |                   |                   |                   |
| <b>Free cash flow conversion</b>                           | <b>59.0%</b>               |                             |                   |                   |                   |                   |                   |                   |
| Net cash provided by operating activities                  | \$ 906.4                   |                             |                   |                   |                   |                   |                   |                   |
| GAAP net income                                            | \$ 1,363.1                 |                             |                   |                   |                   |                   |                   |                   |
| <b>GAAP metric comparable to free cash flow conversion</b> | <b>66.5%</b>               |                             |                   |                   |                   |                   |                   |                   |
|                                                            | For the three months ended | For the twelve months ended |                   |                   |                   |                   |                   |                   |
|                                                            | Jun. 30, 2026              | Jun. 30, 2026               |                   |                   |                   |                   |                   |                   |
| Cash paid for dividends                                    | \$ 305.3                   | \$ 1,057.8                  |                   |                   |                   |                   |                   |                   |
| Cash paid for share repurchases                            | 571.0                      | 2,289.8                     |                   |                   |                   |                   |                   |                   |
| <b>Capital returns</b>                                     | <b>\$ 876.3</b>            | <b>\$ 3,347.6</b>           |                   |                   |                   |                   |                   |                   |

Amounts may not sum due to rounding

The Company presents free cash flow and certain related metrics as supplemental non-GAAP measures of its performance. Free cash flow is determined by adjusting GAAP net cash provided by operating activities for capital expenditures. Free cash flow conversion is defined as free cash flow divided by non-GAAP net income, and free cash flow margin is defined as free cash flow divided by revenue.

# Reconciliation of Guidance

## Q4 FY2026 Guidance Range:

| <i>(Dollars in millions, except per share amounts)</i> |   |                |                |
|--------------------------------------------------------|---|----------------|----------------|
|                                                        |   | <u>Low</u>     | <u>High</u>    |
| GAAP diluted net income per share                      |   | \$ 1.04        | \$ 1.24        |
| Acquisition-related charges                            | a | 0.03           | 0.03           |
| Income tax effect of non-GAAP adjustments              | c | (0.01)         | (0.01)         |
| Non-GAAP diluted net income per share                  |   | <u>\$ 1.06</u> | <u>\$ 1.26</u> |
| Shares used in diluted shares calculation              |   | 1,312          | 1,312          |
| GAAP gross margin                                      |   | 60.6%          | 62.6%          |
| Acquisition-related charges                            | a | 0.9%           | 0.9%           |
| Non-GAAP gross margin                                  |   | <u>61.5%</u>   | <u>63.5%</u>   |
| GAAP operating expenses                                |   | \$ 692         | \$ 704         |
| Acquisition-related charges                            | a | (8)            | (8)            |
| Non-GAAP operating expenses                            |   | <u>\$ 684</u>  | <u>\$ 696</u>  |
| GAAP other expense (income), net                       |   | \$ 25          | \$ 25          |
| Non-GAAP other expense (income), net                   |   | \$ 25          | \$ 25          |
| GAAP tax rate                                          |   | 13.9%          | 13.9%          |
| Effect of acquisition-related charges                  | a | 0.6%           | 0.6%           |
| Non-GAAP tax rate                                      |   | <u>14.5%</u>   | <u>14.5%</u>   |

**Note:** The guidance as of July 28, 2026 represents our best estimate considering the information known as of the date of issuing the guidance. We undertake no responsibility to update the above in light of new information or future events. Refer to forward looking statements for important information. Also refer to "Reconciliation of Non-GAAP Financial Measures - Explanation of Non-GAAP Financial Measures" for detailed descriptions and information about each reconciling item.

## CY 2026 Guidance:

| <i>(Dollars in millions)</i>          |   | <u>CY 2026</u>  |                 |
|---------------------------------------|---|-----------------|-----------------|
| GAAP other expense (income), net      |   | \$ 45           |                 |
| Acquisition-related charges           | a | 12              |                 |
| Non-GAAP other expense (income), net  |   | <u>\$ 57</u>    |                 |
| GAAP tax rate                         |   | 13.5%           |                 |
| Effect of acquisition-related charges | a | 0.7%            |                 |
| Non-GAAP tax rate                     |   | <u>14.2%</u>    |                 |
| GAAP operating expenses               |   | <u>\$ 2,782</u> | <u>\$ 2,787</u> |
| Acquisition-related charges           | a | (35)            | (35)            |
| Non-GAAP operating expenses           |   | <u>\$ 2,747</u> | <u>\$ 2,752</u> |

### Note Regarding Reconciliations of Long-Term Forecasts:

The 2026 target model presented reflects financial targets originally established and disclosed in 2022 and is provided for historical context only. The Company is not updating or reaffirming these targets. The non-GAAP measures include gross margin, R&D as a percent of sales, SG&A as a percent of sales, operating margin, and diluted EPS, and were originally presented on a forward-looking basis. A reconciliation of these forward-looking non-GAAP measures to the most directly comparable GAAP measures is not available without unreasonable effort due to the inherent difficulty in predicting, with a reasonable degree of certainty, the occurrence, financial impact and timing of items that would have been expected to impact GAAP results but would not impact non-GAAP adjusted results, such as acquisition costs, restructuring costs and discrete taxable events, at the time the targets were established. These reconciling items could significantly impact, either individually or in the aggregate, the corresponding GAAP measures.

This presentation includes certain forward-looking non-GAAP financial measures, including gross margin, R&D as a percent of sales, SG&A as a percent of sales, operating margin and diluted EPS, in forecasts for calendar year 2030. The reconciliations for these non-GAAP financial measures to the most directly comparable GAAP measures are not presented because of the inherent difficulty in predicting, with a reasonable degree of certainty, the occurrence, financial impact, and timing of items that would be expected to impact GAAP results but would not impact non-GAAP adjusted results, such as acquisition costs, restructuring costs and discrete taxable events, without unreasonable efforts. These reconciling items could significantly impact, either individually or in the aggregate, the corresponding GAAP measures.

# Reconciliation of Non-GAAP Financial Measures

## Explanation of Non-GAAP Financial Measures:

To supplement our Condensed Consolidated Financial Statements presented in accordance with GAAP, we provide certain non-GAAP financial information, which is adjusted from results based on GAAP to exclude certain gains, costs and expenses, as well as other supplemental information. The non-GAAP and supplemental information is provided to enhance the user's overall understanding of our operating performance and our prospects in the future. Specifically, we believe that the non-GAAP information, including non-GAAP net income, non-GAAP net income per diluted share, non-GAAP gross margin and free cash flow, provides useful measures to both management and investors regarding financial and business trends relating to our financial performance by excluding certain costs and expenses that we believe are not indicative of our core operating results to help investors compare our operating performances with our results in prior periods as well as with the performance of other companies. The non-GAAP information is among the budgeting and planning tools that management uses for future forecasting. However, because there are no standardized or generally accepted definitions for most non-GAAP financial metrics, definitions of non-GAAP financial metrics are inherently subject to significant discretion (for example, determining which costs and expenses to exclude when calculating such a metric). As a result, non-GAAP financial metrics may be defined very differently from company to company, or even from period to period within the same company, which can potentially limit the usefulness of such information to an investor. The presentation of non-GAAP and supplemental information is not meant to be considered in isolation or as a substitute for results prepared and presented in accordance with United States GAAP.

The following are descriptions of the adjustments made to reconcile GAAP net income to non-GAAP net income:

- a) Acquisition-related charges primarily include amortization of intangible assets. Although we exclude the effect of amortization of all acquired intangible assets from these non-GAAP financial measures, management believes that it is important for investors to understand that such intangible assets were recorded as part of purchase price accounting arising from acquisitions, and such amortization of intangible assets related to past acquisitions will recur in future periods until such intangible assets have been fully amortized. Investors should note that the use of these intangible assets contributed to our revenues earned during the periods presented and are expected to contribute to our future period revenues as well.
- b) Income tax effect of non-GAAP adjustments includes the income tax effects of the excluded items noted above.
- c) Discrete tax items consist of certain income tax expenses/benefits that, by excluding, help investors compare our operating performance with our results in prior periods as well as with the performance of other companies.





Keep Looking Ahead